

July FOMC recap?still waiting and seeing

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/western-asset/july-fomc-recap-still-waiting-and-seeing>

Extraction method: selenium

July FOMC recap?still waiting and seeing

In a widely anticipated move, the Federal Open Market Committee (FOMC) left the target range for the fed funds rate unchanged at 4.25% to 4.50% in their recent meeting. Federal Reserve (Fed) Board members Christopher Waller and Michelle Bowman (both nominated to the Board by President Donald Trump) voted against the decision, instead favoring a 0.25% reduction. This marks the first time since 1993 that multiple members of the Board of Governors have issued dissenting opinions, though recent dovish comments from both made their opposition unsurprising. Absent and not voting for personal reasons was Board of Governors member Adriana Kugler, leaving the final tally at 9-2 in favor of holding tight.

The most notable change in today's statement was in the characterization of economic activity. Since January 2024, the committee had described the economy as "expanding at a solid pace." In contrast, today's statement noted that activity has "moderated in the first half of the year," reflecting the fact that real GDP has averaged 1.2% (annualized) thus far in 2025 after a growing by 2.5% in 2024.

At the press conference, Fed Chair Jerome Powell's prepared remarks brought the committee's assessment of the dual mandate into focus. Throughout the event, he described the labor market as "broadly in balance and consistent with maximum employment"; in other words, currently fulfilling one side of the dual mandate. Citing recent softening trends in both labor demand (reflected in lower monthly job creation), and labor supply (due to reduced immigration flows), Powell emphasized the unemployment rate (currently at 4.1%) as the most important metric in assessing the overall health of the labor market. On inflation, Powell acknowledged that, despite recent progress, it remains "a bit above target," with significant uncertainty still emanating from trade policy. He went on to characterize the current stance of policy as "moderately restrictive," noting that, while downside risks to the labor market exist, most committee members believe that moderately restrictive policy remains appropriate until the effects of tariffs on inflation are more fully understood.

The market interpreted Powell's emphasis on inflation as a hawkish signal, further reducing the likelihood of a September rate cut, which now stands at roughly even odds. With two additional inflation and labor market reports scheduled for release before the September meeting, the onus is on the incoming data to prompt the committee to move away from its current "wait-and-see" approach.

In our view, while the decline in the June unemployment rate might initially suggest a tightening labor market, a broader array of indicators points to a lack of underlying dynamism and continued moderation in wage pressures. Moreover, recent job gains have been concentrated in sectors that typically lag the business cycle, such as the public sector and health care. The Q2 GDP report released earlier today underscored a pronounced slowdown in both real and nominal private demand during the first half of 2025 compared to previous years. This softening in demand limits companies' ability to pass on tariff-related price increases. Although the deregulatory environment emerging from Washington, D.C., may bolster business sentiment and capital spending going forward, such measures are more likely to support trend growth than generate inflationary pressures on their own.

Should our outlook prove correct?that the coming months will bring an uptick in the unemployment rate and more moderate tariff-related price pressures than might be currently anticipated?Chair Powell could use his appearance at the annual Jackson Hole Symposium in late August to lay the groundwork for a September rate cut. Alternatively, if the committee judges that additional time is warranted, the FOMC's median projections from the June Summary of Economic Projections could still be achieved with 0.25% rate cuts in October and December, or even a 0.50% cut in December. With rate cuts on the horizon, high-quality fixed-income should remain well supported, continuing to offer attractive risk-adjusted returns, particularly in the intermediate segment of the yield curve.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Please note that an investor cannot invest directly in an

index. Unmanaged index returns do not reflect any fees, expenses or sales charges. Past performance is no guarantee of future results.

Fixed-income securities involve interest rate, credit, inflation and reinvestment risks; and possible loss of principal. As interest rates rise, the value of fixed income securities falls.

Commodities and currencies contain heightened risk that include market, political, regulatory, and natural conditions and may not be suitable for all investors.

US Treasuries are direct debt obligations issued and backed by the full faith and credit of the US government. The US government guarantees the principal and interest payments on US Treasuries when the securities are held to maturity. Unlike US Treasuries, debt securities issued by the federal agencies and instrumentalities and related investments may or may not be backed by the full faith and credit of the US government. Even when the US government guarantees principal and interest payments on securities, this guarantee does not apply to losses resulting from declines in the market value of these securities.

WF: 6376208

View more about Western Asset and the strategies they manage.

CONTRIBUTORS

Nicholas J. Mastroianni, CFA

Western Asset

Related Content

Explore Western Asset Insights

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.